

one another, and then methodically constructing a portfolio of investments that have a high probability of achieving your goals with the lowest level of expected portfolio risk.

No asset allocation is perfect. Correlations between asset classes change over time, and this causes changes in the diversification benefits. There may be periods when a diversification effect is small, and there may be times when the benefit is large. No one knows when correlations will change or by how much. Sometimes investments in a portfolio become less correlated with each other, and other times they become more correlated. Thus it is wise to hold several different investment types in a portfolio at all times; however, they should have a long-term positive expected return over the inflation rate.